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SiTime Corporation | North America

Timing is Right; Initiate at Overweight

A broadening precision timing opportunity, robust AI/data center tailwinds and complementary M&A support a strong growth outlook. Following a ~13% pullback in the last week amid a broader semi sell-off, we see an attractive entry point. Initiate OW at \$730 PT, ~33% upside.

Key Takeaways

- A growing precision timing opportunity, continued share gains and the Renesas Timing Products Division (TPD) acquisition support further revenue runway.
- AI/data center remains SiTime's key near-term growth driver, led by exposure across networking and compute.
- Recent share-price pullback improves the risk/reward, while our fundamental outlook remains intact.

The timing opportunity continues to expand. [Timing provides the clock signals that tell electronic systems when to process and move data.](#) SiTime operates as a pure-play in the precision timing portion of the market, where greater accuracy and stability are required for more demanding applications. Its SAM has expanded from ~\$1bn in 2020 to ~\$4bn today, with further runway from MEMS adoption replacing quartz, continued share gains and TPD cross-sell. We model 30% total/31% organic revenue growth in CY28, above management's 25-30% long-term framework, with revenue/EPS 8%/11% above VisibleAlpha consensus, while CY27 is broadly in-line.

AI/data center is the key near-term growth driver. SiTime's AI/data center exposure reached 64% of revenue in the most recent quarter, up from 12% at IPO, spanning both networking and compute. We expect optical to remain the clearest near-term driver as 1.6T ramps, while inference workloads broaden the compute opportunity and add timing content, supporting our 38% CY28 growth forecast.

Recent pullback creates a more attractive risk/reward despite a premium valuation. Our \$730 PT implies ~33% upside, while our CY28 bull/bear scenarios imply ~\$990/~\$440, or ~80% upside/~20% downside. We apply a 37x CY28 EPS of \$19.75, a ~10% premium to our Growth Analog/FPGA peer group's mid-cycle P/E multiple, which we believe is warranted by SiTime's stronger growth and high-end GM%.

Where could we be wrong? Upside: Faster precision timing adoption, more durable AI capex/networking demand and faster TPD integration/cross-sell could drive growth above long-term targets and sustain SiTime's valuation premium. **Downside:** Slower adoption, greater competition, AI capex deceleration or TPD integration challenges could push growth below targets and narrow the premium.

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SiTime Corporation (SITM.O, SITM US)

Semiconductors | United States of America

Stock Rating	Overweight
Industry View	Attractive
Price target	\$730.00
Shr price, close (Sep 16, 2026)	\$548.90
Mkt cap, curr (mm)	\$16,008
52-Week Range	\$901.81-243.68

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (\$) **	3.21	11.28	14.90	19.75
Prior EPS (\$) **	-	-	-	-
P/E	NM	78.0	53.6	37.8
EPS (\$) §	-	11.25	14.93	20.14
Div yld (%)	0.0	0.0	0.0	0.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)

Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	0.26	-	1.44a	-	3.19
Q2	0.47	-	2.26a	-	3.44
Q3	0.87	-	3.58	-	3.91
Q4	1.53	-	3.69	-	4.36

e = Morgan Stanley Research estimates, a = Actual Company reported data

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For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

Risk Reward – SiTime Corporation (SITM.O)

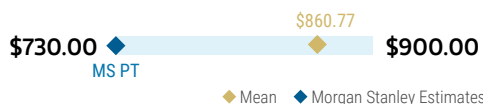
Multiple growth drivers support attractive risk/reward

PRICE TARGET \$730.00

We value SITM at 37x CY28e Non-GAAP EPS of \$19.75, implying a \$730 PT. Our multiple represents a ~10% premium to a mid-cycle range for Growth Analog/FPGA peers, reflecting SiTime's combination of stronger growth and high-end GM%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



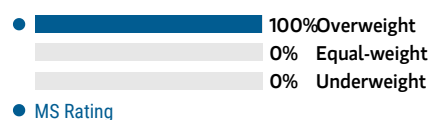
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We see meaningful runway as SiTime expands its precision timing SAM, gains share and broadens its portfolio through TPD.
- AI/data center remains the key near-term growth driver, led by optical networking, compute/inference and synchronization.
- TPD broadens SiTime's portfolio and creates incremental cross-sell/share-gain opportunities.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$990.00

~43x CY28 Non-GAAP EPS of \$23.07

Rapid adoption of MEMS timing across applications, robust multi-year AI networking spend with 1.6T to 3.2T transition faster than expected, and TPD cross-sell drive revenue growth well above the high-end of SiTime's long-term framework (25-30%), supporting a higher premium vs high growth peers.

- Revenue grows 39.8% in CY28
- GM% expands to 68.5%
- EPS reaches \$23.07

BASE CASE

\$730.00

~37x CY28 Non-GAAP EPS of \$19.75

Rapid adoption of MEMS timing across applications, robust multi-year AI networking spend with an accelerated 1.6T to 3.2T transition, and TPD cross-sell drive revenue growth above the high-end of SiTime's long-term framework (25-30%), supporting a higher premium vs high growth peers.

- Revenue grows 30.4% in CY28
- GM% reaches 67.5%
- EPS reaches \$19.75

BEAR CASE

\$440.00

~27x CY28 Non-GAAP EPS of \$16.21

Broader application timing proliferation slows, AI/data center capex softens, and challenges in TPD integration drive growth below SiTime's long-term framework, leading to erosion in its relative multiple premium.

- Revenue grows 20% in CY28
- GM% declines to 64%
- EPS reaches \$16.21

Risk Reward – SiTime Corporation (SITM.O)

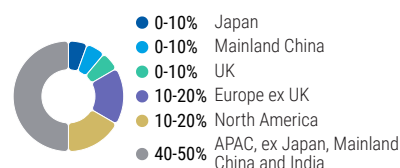
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
GAAP Revenue (\$, mm)	327	874	1,360	1,774
Non-GAAP Gross Margin (%)	59.3	66.8	67.4	67.5
Non-GAAP EPS (\$)	3.21	11.28	14.90	19.75

INVESTMENT DRIVERS

- **Timing SAM expansion/share gains** - More precision timing applications/sockets + higher penetration.
- **AI/data center growth** - Optical networking, switches and inference.
- **TPD growth/cross-sell** - More clocking products/sockets across customers.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

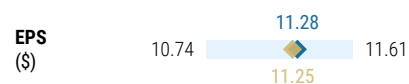
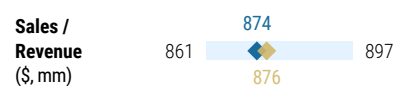
- **SAM expansion:** increased precision timing adoption, faster TPD integration/cross-sell.
- **AI spend:** accelerated networking refresh, >inference workloads.
- **Valuation:** Premium sustained by stronger growth & operating leverage.

RISKS TO DOWNSIDE

- **SAM contraction:** slower precision timing adoption, TPD integration challenges.
- **AI spend:** lower AI capex, 1.6T->3.2T stagnation.
- **Valuation:** Premium erodes on fundamental softness.

MS ESTIMATES VS. CONSENSUS

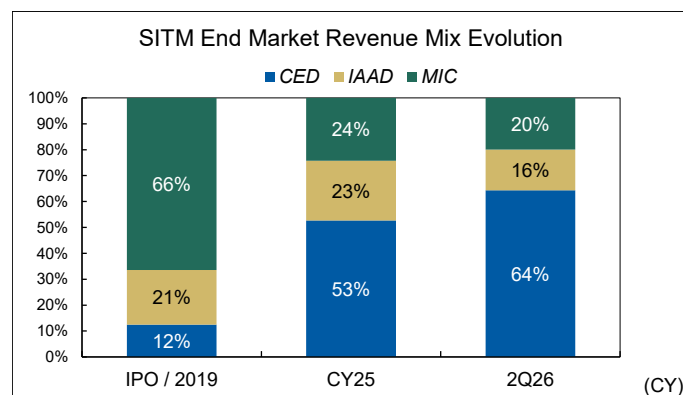
FY 2026e



Source: Refinitiv, Morgan Stanley Research

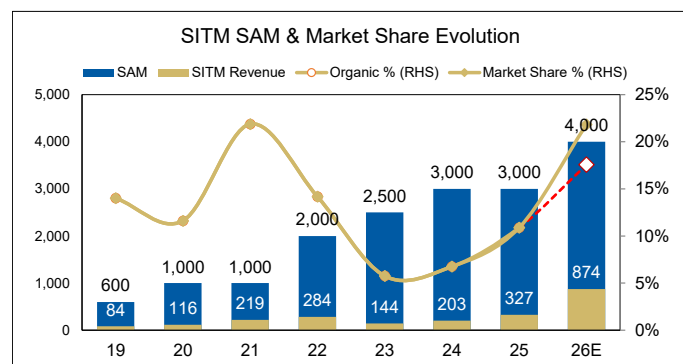
Thesis in Charts

Exhibit 1: AI tailwinds have driven a material shift in SiTime's end-market mix toward data center applications from mobile/consumer...



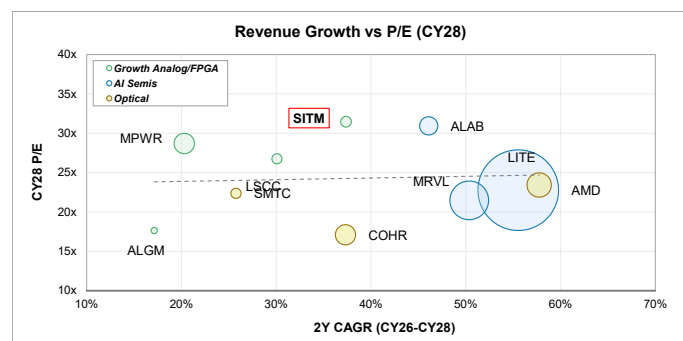
Source: Company Data, Morgan Stanley Research.

Exhibit 3: ...while the disclosed SAM has also expanded, though SiTime's revenue has grown faster...



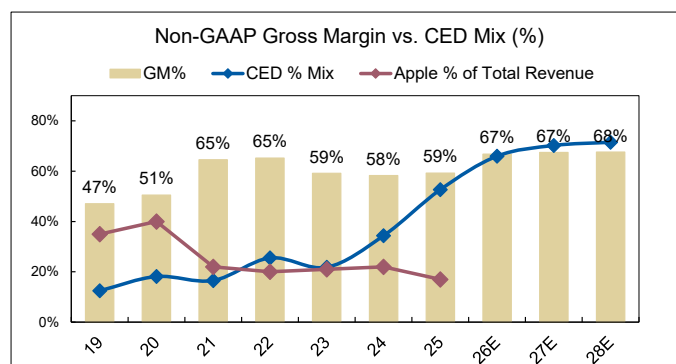
Source: Company Data, Morgan Stanley Research.

Exhibit 5: ...supporting a premium multiple to Growth Analog/FPGA peers...



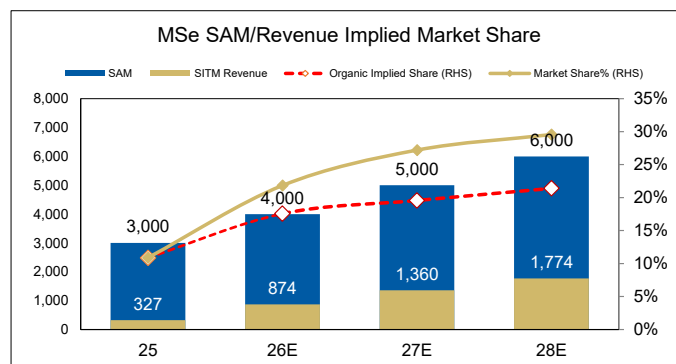
Source: VisibleAlpha, Bloomberg, Morgan Stanley Research.

Exhibit 2: ...supporting meaningful margin improvement as higher-ASP data center product mix increases...



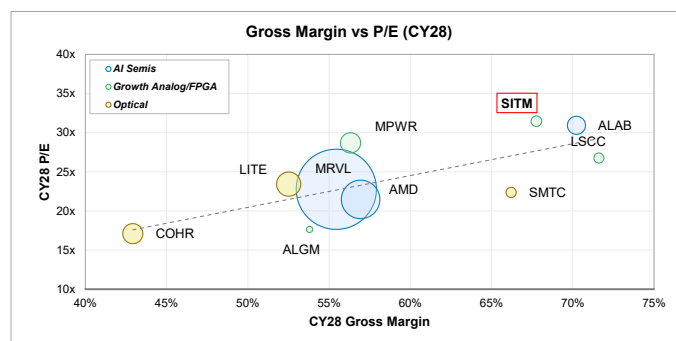
Source: Company Data, Morgan Stanley Research.

Exhibit 4: ...which we believe will continue driven by further CED growth and additional opportunities from the Renesas Timing Products Division...



Source: Company Data, Morgan Stanley Research.

Exhibit 6: ...although SiTime already screens at the high end of the broader peer set on a gross margin basis as well



Source: VisibleAlpha, Bloomberg, Morgan Stanley Research.

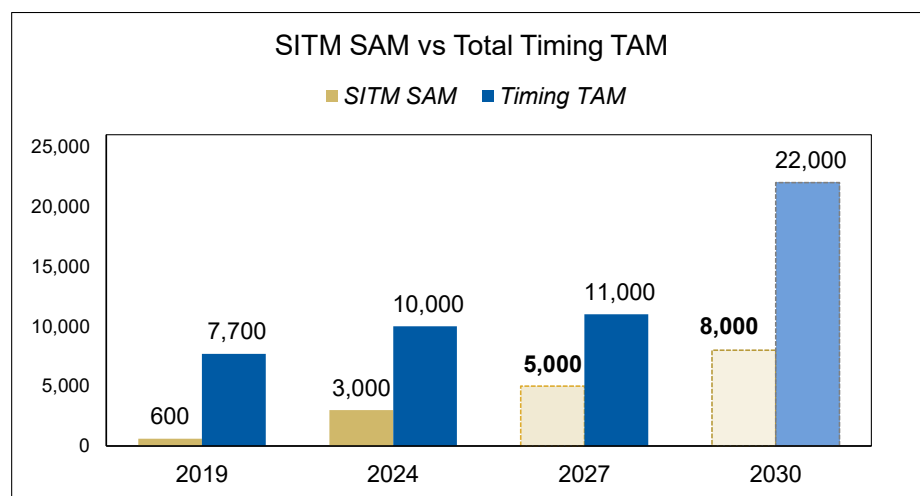
Debate 1: Where are we in the Timing opportunity?

Our view: We believe SiTime still has meaningful runway as **1) its precision timing SAM** continues to expand, **2) penetration** within that SAM continues to increase and **3) TPD** broadens the portion of the timing market SiTime can address.

The numbers: We model ~56%/~30% total revenue growth in CY27/28, including ~39%/~31% organic growth. Our organic revenue estimates of ~\$980mn/~\$1.28bn imply legacy SiTime penetration rising to ~20%/~21% from ~18% in CY26E. Our CY27 revenue estimate is broadly in-line with consensus, while CY28 is ~8% above.

SiTime's historical growth has come from both expanding the market it can address and increasing its share within that market. Its disclosed precision timing SAM has increased from ~\$1bn in 2020 to ~\$4bn in CY26E, while legacy revenue has grown materially faster, taking implied penetration from ~12% to ~18%. TPD adds a third leg by materially broadening SiTime's clocking portfolio and customer base. We expect all three drivers to support continued growth through CY28.

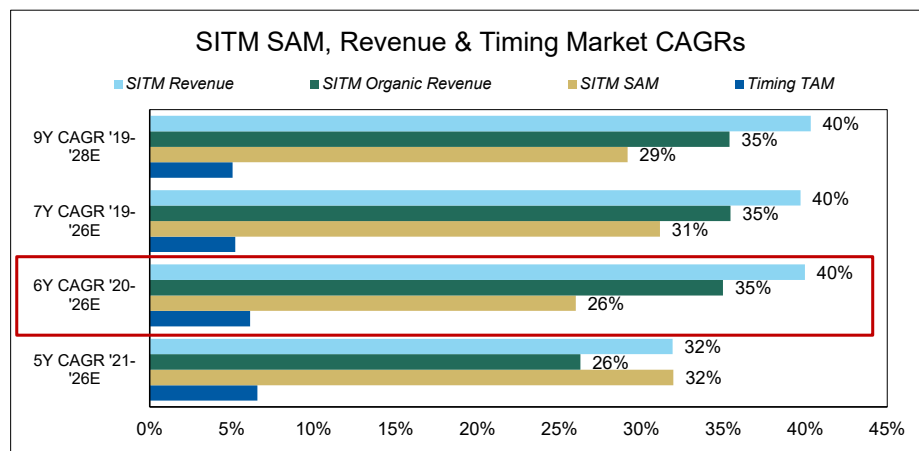
Exhibit 7: Total Timing TAM is expected to ~double by 2030, while SiTime's SAM continues to expand



Note: 2027 & 2030 SAM are MSe estimates. Source: Company Data, Morgan Stanley Research.

1.) There is still opportunity for SAM expansion. SiTime sizes the broader timing market at ~\$11bn today, with the market growing as timing content increases across more applications and performance requirements rise. Within that market, SiTime's precision timing SAM has grown from ~\$1bn in 2020 to ~\$4bn in CY26E, a ~26% CAGR, supported by increasing adoption of MEMS-based timing in higher performance applications such as automotive networking/ADAS, industrial automation and aerospace/defense systems, where reliability, stability and resilience requirements are higher than in traditional consumer applications. We estimate SAM reaches ~\$5bn in CY27 and ~\$6bn in CY28.

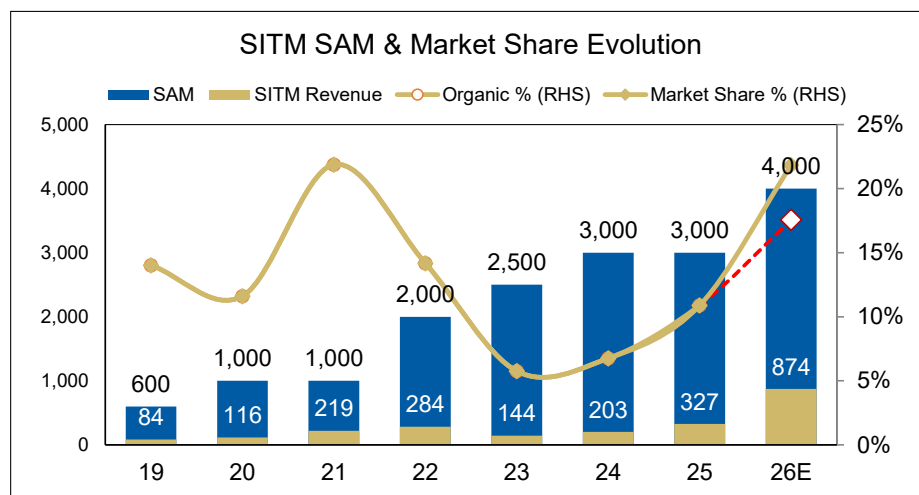
Exhibit 8: SITM's revenue and SAM growth have outpaced the total timing market, which we expect to continue through CY28



Source: Company Data, Morgan Stanley Research.

2.) Penetration can continue to rise within an expanding SAM. SiTime has historically grown faster than its SAM as customers adopt higher-performance timing across more applications and sockets. The company has also said it remains underpenetrated within existing customers, particularly in AI, leaving room for further content expansion. At constant ~18% penetration, our ~\$6bn CY28 SAM would support ~\$1.1bn of organic revenue versus our ~\$1.28bn estimate. Our base case therefore implies penetration rises to ~21%, or ~\$200mn of revenue above a constant-penetration outcome, with additional runway if SiTime continues to expand content within existing customers and gain share across new sockets.

Exhibit 9: SiTime's disclosed SAM has grown at a ~26% CAGR from 2020-26E

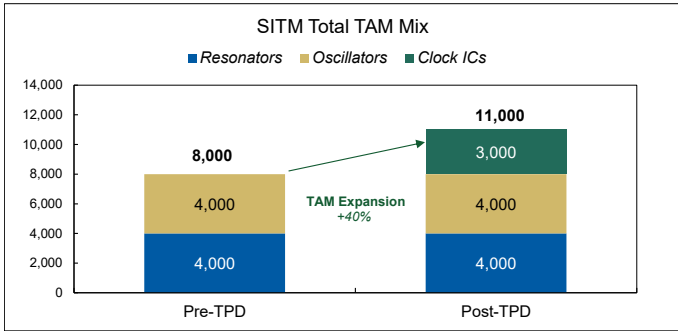


Note: 2026 Revenue is MSe. Source: Company Data, Morgan Stanley Research.

3.) TPD broadens SiTime's timing opportunity. TPD adds >550 clock products and >10,000 customers, expanding SiTime beyond resonators/oscillators and increasing its overall TAM from ~\$8bn to ~\$11bn. Limited product overlap creates cross-sell opportunities in both directions and allows SiTime to address more timing sockets within the same customer system. The opportunity is still early, with TPD currently supply constrained and SiTime relying on Renesas under a TSA for manufacturing/test over the

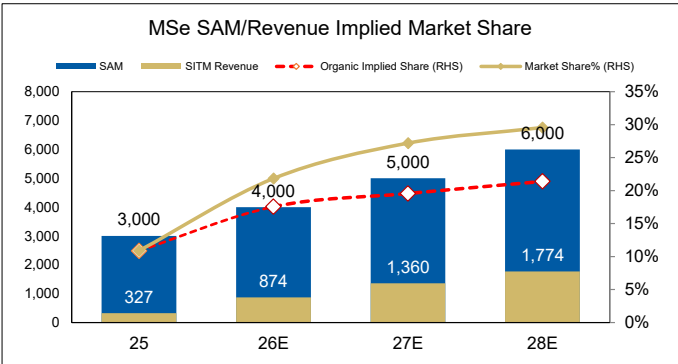
next several quarters. As supply normalizes and SiTime transitions off the TSA, we see further opportunity from product ramps and cross-sell across the combined customer base.

Exhibit 10: TPD expands SiTime's addressable timing market by ~40%



Source: Company Data, Morgan Stanley Research.

Exhibit 11: Our estimates imply ~27%/~30% combined share in CY27/28, including ~8 points from TPD



Source: Company Data, Morgan Stanley Research estimates.

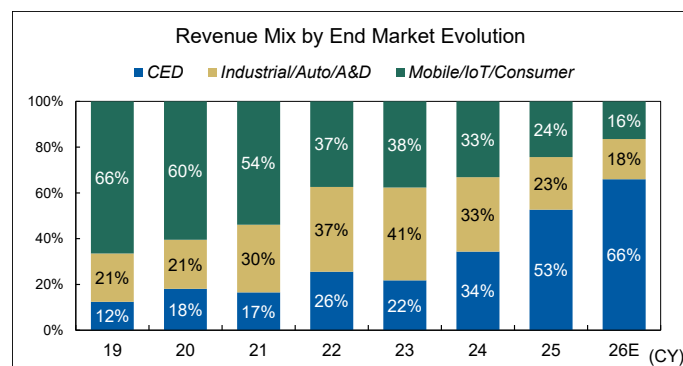
Debate 2: How Durable Is the AI Growth?

Our view: We expect CED growth to remain strong, supported by the visible optical ramp and additional opportunities across compute/inference and synchronization. While growth should moderate off the current base, we see several paths for continued upside as next-gen networking and inference broaden SiTime's timing opportunity.

The numbers: We model total CED growth of ~65%/~38% in CY27/28, including ~50%/~41% organic growth, with the strongest contribution from the visible optical ramp and additional support from compute/inference and synchronization.

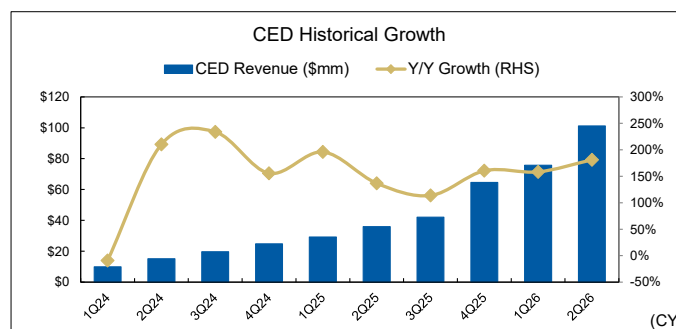
SITM AI/Data Center overview. SiTime's AI exposure sits primarily within its Communications, Enterprise and Datacenter (CED) segment, which has rapidly become SiTime's largest end market, increasing from ~12% of revenue at IPO in 2019 to 53% in CY25 and 64% in C2Q26. Growth today spans AI networking and compute, including optical modules, switches, processors and network timing across increasingly large AI systems. SiTime has delivered nine consecutive quarters of triple-digit CED growth, customers are ordering 12-18 months in advance and the company sees no signs of a CY27 slowdown. We expect growth to normalize from here given the high base, but remain strong.

Exhibit 12: CED has become the majority of SiTime revenue...



Source: Company Data, Morgan Stanley Research.

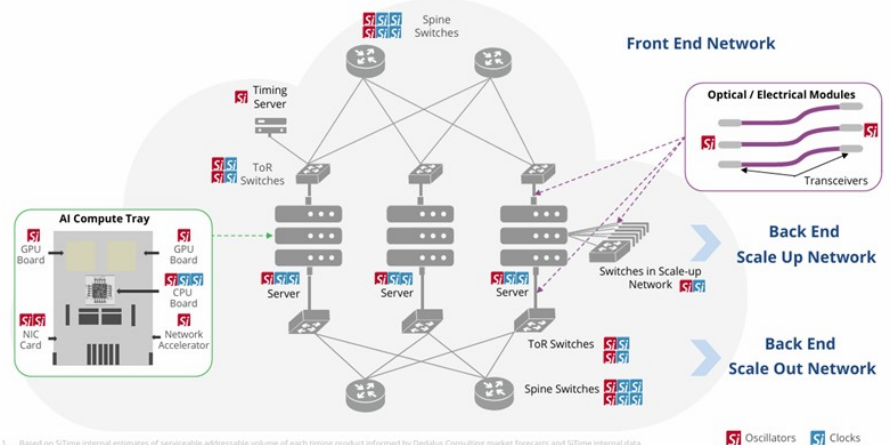
Exhibit 13: ...and has delivered nine consecutive quarters of triple-digit growth



Source: Company Data, Morgan Stanley Research.

Exhibit 14:

SiTime estimates it has a \$3bn Data Center SAM



1. Based on SiTime internal estimates of serviceable addressable volume of each timing product informed by Deloitte Consulting market forecasts and SiTime internal data.

Source: Company Data.

How we analyze SiTime's CED segment. While SiTime doesn't disclose revenue by application, we estimate the mix across its key CED sub-markets based on company commentary and use Morgan Stanley market forecasts and management guidance to frame growth. We assume SiTime grows broadly in-line with the underlying markets, with additional upside from share/content gains.

- **1.) Optical remains the clearest near-term opportunity.** We model ~85%/~35% growth in CY27/28, supported by the 800G/1.6T product cycle and our [Morgan Stanley colleagues' AI transceiver unit demand](#) forecasts. SiTime expects 1.6T revenue to grow ~100% in CY27 and has indicated that its share at 1.6T is significantly higher than at prior generations, with management describing 1.6T share as close to ~2x its ~40% share at 400G. Our analysis implies ~79% share in 1.6T in CY27, broadly consistent with that commentary, while 800G share remains lower at ~64%. Our optical analysis also assumes no 3.2T revenue through CY28, leaving additional upside if the next networking transition begins earlier or ramps faster than we currently model.

Exhibit 15: Our optical revenue analysis for SiTime implies 1.6T share broadly consistent with management commentary

<i>(mn units)</i>			
New Estimates	2026E	2027E	2028E
800G	44	63	64
1.6T	29	79	87
Total	73	141	150
Previous Estimates	2026E	2027E	2028E
800G	34	48	54
1.6T	19	24	27
Total	53	71	80
Pct. of change	2026E	2027E	2028E
800G	29%	31%	19%
1.6T	52%	233%	226%
Total	38%	98%	87%

<i>Morgan Stanley Transceiver Implied Unit Growth</i>			
Generation	2027E	2028E	
800G	43%	2%	
1.6T	171%	10%	
Total	93%	6%	

<i>SiTime Optical Revenue Analysis</i>			
Generation	2026E	2027E	2028E
800G	63	100	129
1.6T	117	233	321
Total	180	333	451
<i>SITM Optical Mix</i>			
800G	35%	30%	29%
1.6T	65%	70%	71%
Total	100%	100%	100%
<i>Growth Y/Y</i>			
800G		60%	29%
1.6T		100%	38%
Total		86%	35%

<i>CY27 SITM Check</i>			
	800G	1.6T	Total
MS Units	63	79	141
ASP	\$1.00	\$1.50	
Units x ASP	63	118	181
Implied SAM Mix	35%	65%	100%
Fixed SAM	\$157	\$293	\$450
SITM Revenue	100	233	333
SITM SAM Share	64%	79%	74%

<i>CY28 SITM Check</i>			
	800G	1.6T	Total
MS Units	64	87	150
ASP	\$1.00	\$1.50	
Units x ASP	64	130	194
Implied SAM Mix	33%	67%	100%
Fixed SAM (MSe)	\$198	\$402	\$600
SITM Revenue	129	321	451
SITM SAM Share	65%	80%	75%

Source: Company Data, Morgan Stanley Research estimates.

- **2.) Compute/XPU broadens the opportunity, with synchronization adding further content upside.** We model ~35%/~50% growth in CY27/28 for Compute/XPU, tracing the increasing mix of inference workloads over time. SiTime has indicated that infrastructure supporting inference workloads can require 2-4x more timing content per system than training, while synchronization can add further timing content across compute and networking nodes.
- **3.) TPD adds another source of CED growth.** TPD is ~75% weighted to data center/communications, broadening SiTime's clocking exposure across many of the same customers and applications. We model strong growth as supply normalizes and the acquired portfolio scales, with additional upside from cross-sell and new timing sockets over time.

Exhibit 16: MSe CED growth framework

CED Bucket	CY26		CY27		CY28		Market Driver
	Organic CED Mix	CED Revenue	Revenue Y/Y%	Implied CED Mix	Revenue Y/Y%	Implied CED Mix	
Optical Modules (800G & 1.6T)	40%	180	86%	333	35%	35%	Optical Transceiver demand, 800G->1.6T refresh cycle
Compute / XPU	30%	135	35%	181	19%	50%	Increasing inference workloads, higher timing content in next-gen networking components
Other (switches, retimers)	15%	67	18%	79	8%	40%	
Synchronization	15%	67	18%	79	8%	50%	SITM Elite 2 ~\$1.5bn cumulative SAM through 2030; adoption ramps later
TPD Revenue (within CED)		127	120%	280	29%	31%	≥\$300mn first 12 months post-close; supply normalization + cross-sell/new sockets
Organic CED		\$449	50%	\$673		42%	
Total CED		\$576	65%	\$953		38%	

Source: Company Data, Morgan Stanley Research Estimates.

What could drive CED upside? Our base case gives less credit to potential content upside from inference and synchronization, where adoption remains early and system configurations vary. Management has indicated inference infrastructure can require 2-4x more timing content per system than training, with content exceeding \$1,000 in some rack configurations. Our rack analysis is a sense-check rather than a direct forecast, illustrating how higher content/rack can offset fewer racks per GW as power rises.

Exhibit 17: SiTime \$ content/GW analysis

Rack Form Factor	Rack power (kW)	Racks/GW	SITM \$ content/rack			SITM \$ content/GW		
			Low	Mid	High	Low	Mid	High
Legacy	40	25,000		\$200			\$5mn	
Current	150	6,667	\$500	\$600	\$700	\$3mn	\$4mn	\$5mn
Next-Gen	250	4,000	\$1,000	\$1,500	\$2,000	\$4mn	\$6mn	\$8mn

Note: Legacy, Current, and Next-Gen power budget figures use H200, GB300 NVL72, and VR NVL72 rack configurations. Source: Company Data, Morgan Stanley Research.

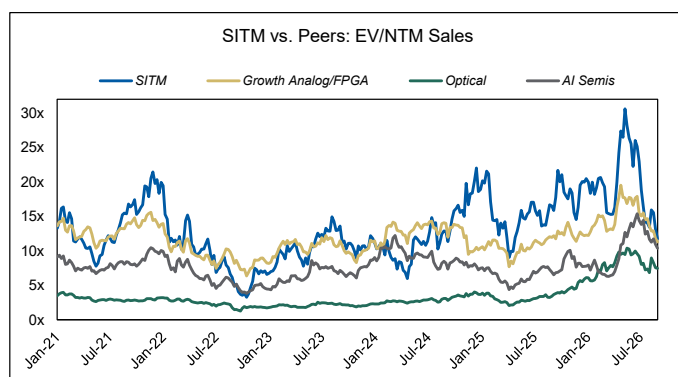
Debate 3: Valuation: What is the right premium?

Our view: We believe SiTime deserves a premium to Growth Analog/FPGA given its superior growth and GM% profile. While valuation remains elevated and our CY28 revenue estimate is already ~8% above Street, we see continued earnings upside from AI/data center growth, penetration gains and TPD execution, with the recent pullback improving the risk/reward.

The numbers: Our \$730 PT applies a 37x P/E multiple to our CY28 EPS estimate of \$19.75, a ~10% premium to our Growth Analog/FPGA peer group's mid-cycle P/E multiple.

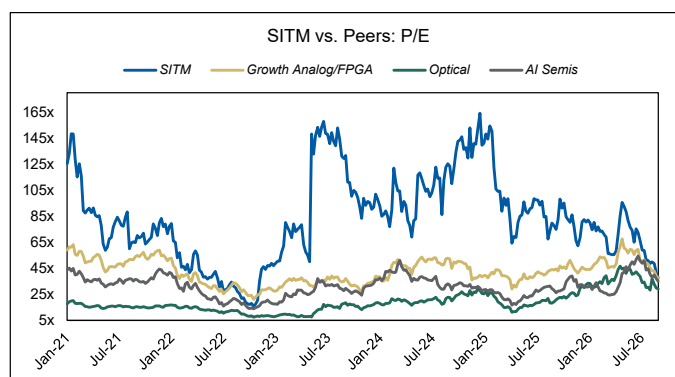
SITM's valuation framework is evolving. Historically, EV/NTM Sales provided the more consistent valuation framework given SiTime's smaller and more volatile earnings base, while P/E was less meaningful through periods of depressed or rapidly changing earnings. Following the TPD acquisition, we believe P/E is more appropriate given the material increase in earnings power and expected improvement in earnings stability.

Exhibit 18: We analyzed valuation on an EV/NTM Sales basis historically...



Source: VisibleAlpha, Bloomberg, Morgan Stanley Research.

Exhibit 19: ...given the company's P/E multiples have been volatile until recently



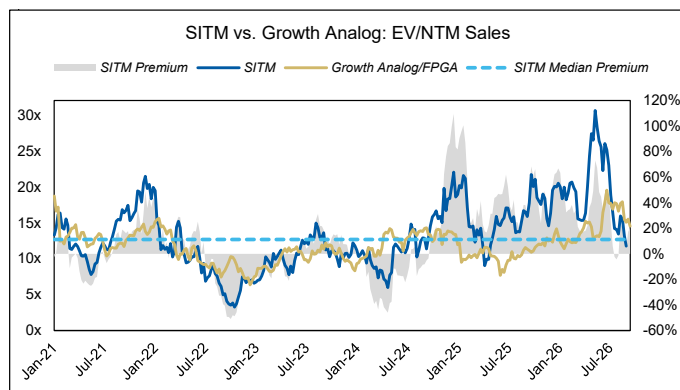
Source: VisibleAlpha, Bloomberg, Morgan Stanley Research.

Who should SITM trade with? We see three relevant comp groups, though we anchor our valuation in Growth Analog/FPGA given the strongest trading relationship and the closest combination of growth, operating profile and product characteristics. Since January 2021, SiTime's correlation with Growth Analog/FPGA was 0.71 on EV/NTM Sales and 0.31 on P/E; since February 6, 2026, those correlations have increased to 0.91 and 0.95, respectively.

- **Growth Analog/FPGA** Our primary comp group given the closest combination of growth, operating profile and product characteristics, while also showing the highest correlation relative to the other peer groups.
- **Optical exposure** (LITE, COHR, SMTC): Relevant given SITM's growing exposure to optical networking and AI infrastructure.
- **AI Semis** (MRVL, AMD): Context for the valuation afforded to faster-growing semiconductor companies with significant AI/data center exposure.

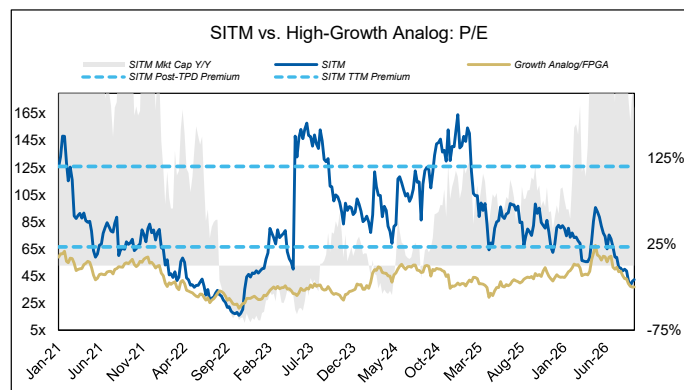
We believe a premium multiple is warranted. We forecast revenue growth of ~56%/~30% in CY27/28, including organic growth of ~39%/~31%, while GM% remains in the high-60s. Our base case applies a ~10% premium to the Growth Analog/FPGA group's ~34x mid-cycle P/E multiple, resulting in a 37x multiple, driven by SiTime's combination of stronger growth and high-end GM%, which is consistent with its historical trading premium to the group.

Exhibit 20: SITM has historically traded most closely with the Growth Analog group and at a premium...



Source: VisibleAlpha, Bloomberg, Morgan Stanley Research.

Exhibit 21: ...closing the valuation gap on a P/E basis more recently following the TPD acquisition announcement

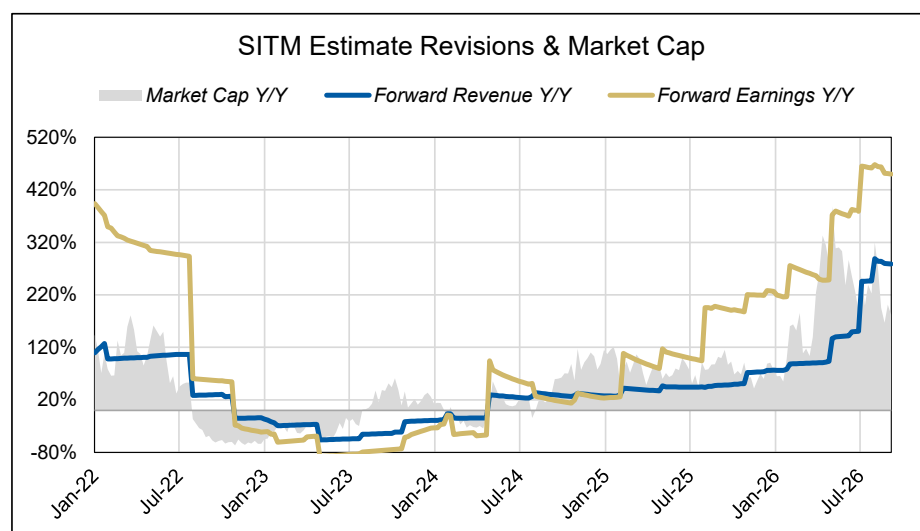


Source: VisibleAlpha, Bloomberg, Morgan Stanley Research.

Estimates have moved materially higher, but we still see room for further upside.

Revenue and earnings expectations have been revised up as SiTime has delivered nine consecutive quarters of triple-digit CED growth, while TPD has increased earnings power. Our CY28 revenue estimate is already ~8% above Street, but additional upside could come from stronger AI/data center demand, faster penetration gains and better TPD execution.

Exhibit 22: SITM estimates have moved materially higher alongside the stock following the TPD announcement



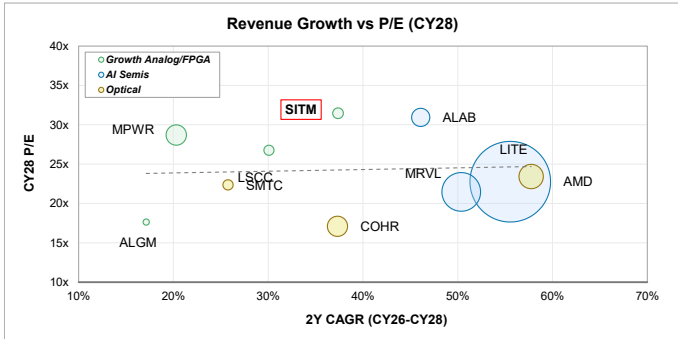
Source: VisibleAlpha, Bloomberg, Morgan Stanley Research.

Relative valuation limits the case for multiple expansion, but not the case for upside.

SiTime already trades at the high end of our relevant peer groups, so we place less

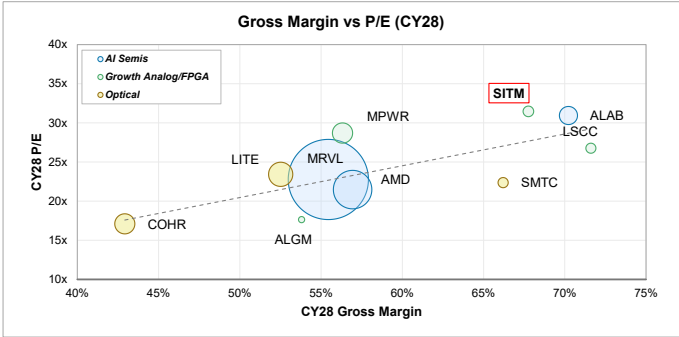
emphasis on multiple expansion in our base case. Our estimates support sustaining a premium given SiTime's stronger growth and high-end GM% profile, with revenue/EPS growth the primary driver of returns. Our bull case leaves room for a higher multiple if that growth and operating leverage prove stronger than we currently model.

Exhibit 23: SiTM screens at the high end of the peer set on growth basis...



Source: VisibleAlpha, Bloomberg, Morgan Stanley Research.

Exhibit 24: ...and similarly on gross margin



Source: VisibleAlpha, Bloomberg, Morgan Stanley Research.

Valuation Methodology

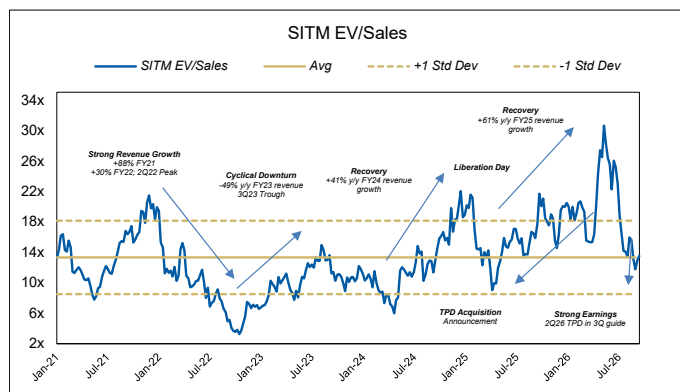
We value SITM on P/E, using Growth Analog/FPGA as our primary comp group and Optical Networking/AI Semis as secondary reference points. Our Growth Analog/FPGA peer group includes ALGM, MPWR and LSCC, which we view as the closest peers to SiTime across growth, operating profile and product characteristics, while also showing the highest correlation relative to the other peer groups.

On a historical basis, we analyzed SITM on an EV/NTM Sales multiple given its smaller and more volatile earnings base, but we believe P/E is more appropriate following the TPD acquisition given the material increase in earnings power and expected improvement in earnings stability.

Our base case valuation applies a ~10% premium to our primary comp set's mid-cycle P/E multiple range, resulting in a 37x P/E multiple on our CY28 EPS estimate of \$19.75. We believe the premium is warranted given SiTime's stronger growth, high-end GM% and increasing AI/data center exposure, and is consistent with its historical trading premium to the group.

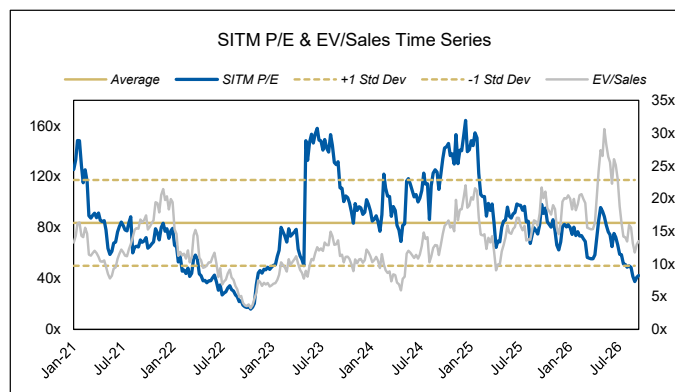
- **Base Case PT of \$730:** 37x our CY28 EPS estimate of \$19.75. Revenue grows ~56%/~30% in CY27/28, with CY28 growth above the high end of SiTime's 25-30% long-term framework.
- **Bull Case Valuation of \$990:** 43x our CY28 EPS estimate of \$23.07. Revenue grows ~62%/~40% in CY27/28, with CY28 growth well above SiTime's long-term framework.
- **Bear Case Valuation of \$440:** 27x our CY28 EPS estimate of \$16.21. Revenue grows ~45%/~20% in CY27/28, with CY28 growth below SiTime's long-term framework.

Exhibit 25: EV/NTM Sales provided the more consistent historical valuation framework...



Source: VisibleAlpha, Bloomberg, Morgan Stanley Research.

Exhibit 26: ...as P/E was historically more volatile given SiTime's smaller earnings base



Source: VisibleAlpha, Bloomberg, Morgan Stanley Research.

Company Overview

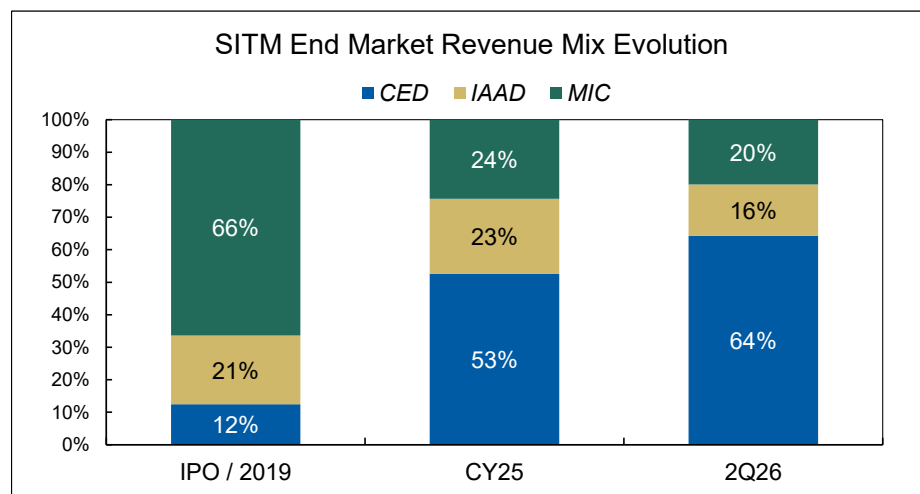
Executive Summary

SiTime is a fabless semiconductor company focused on precision timing. Its products generate, distribute and synchronize timing signals across its end markets: Communications, Enterprise and Datacenter (CED); Industrial, Automotive, Aerospace & Defense (IAAD); and Mobile, IoT & Consumer (MIC) applications. SiTime's core technology is based on silicon MEMS resonators combined with analog mixed-signal ICs, advanced system-level integration and software. The company has shipped >4bn devices, has products designed into >400 applications and has developed six generations of proprietary MEMS technology.

Founded in 2005 around the premise that silicon MEMS could replace traditional quartz in timing applications, SiTime was acquired by Japanese fabless semiconductor company MegaChips in 2014 before returning to the public markets in November 2019. MegaChips retained ~70% ownership at IPO but has steadily reduced its stake since and is no longer a controlling shareholder.

SiTime's end-market mix has changed materially. Communications, Enterprise, and Datacenter ("CED") represented only ~12% of revenue at IPO, versus 53% in CY25 and 64% in C2Q26, not surprising given the surge in the data center markets. We believe the shift toward CED is important both for growth and margins, as AI/data center applications tend to require higher-performance timing solutions than the company's historical consumer business. According to SiTime, the total timing market is ~\$11bn in size and growing, where SiTime currently sizes its precision timing SAM at ~\$4bn.

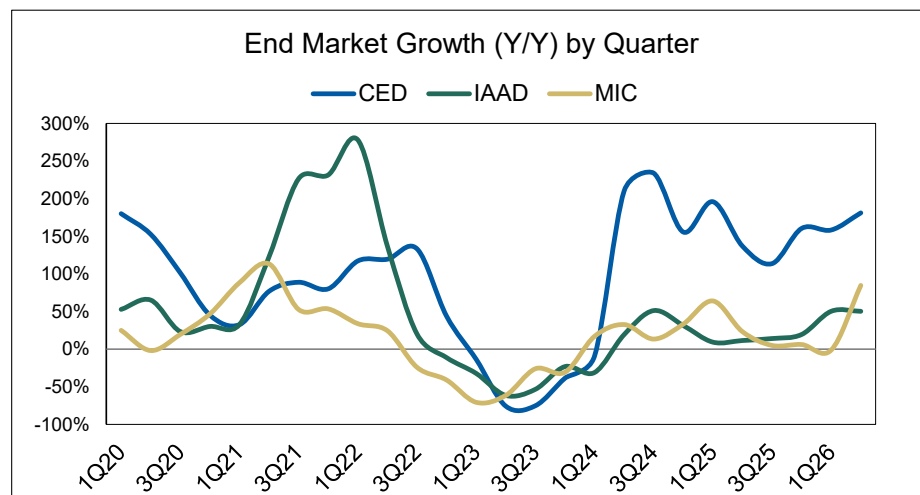
Exhibit 27: CED has become the majority of SiTime revenue



Source: Company Data, Morgan Stanley Research.

Growth across the three end markets is being driven by different factors. CED is the primary growth engine today, led by AI/data center demand across optical networking and compute. IAAD is more diversified across industrial, automotive and aerospace/defense applications, while MIC is more design-win driven, including Apple, which has historically been SiTime's largest customer.

Exhibit 28: SITM troughed in 3Q23, but has since recovered across end markets - driven by CED



Source: Company Data, Morgan Stanley Research.

Exhibit 29: SITM End Market Mix Overview

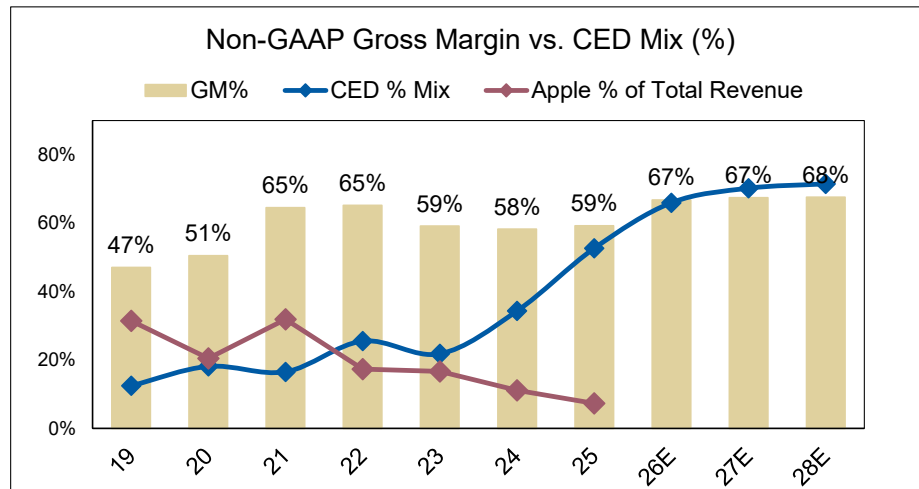
End Market	Key Applications	Main Drivers
Communications, Enterprise & Datacenter (CED)	Optical modules, networking, AI infrastructure, synchronization	800G/1.6T, AI clusters, higher timing content
Industrial, Automotive, Aerospace & Defense (IAAD)	Industrial automation, automotive, aerospace/defense	Automation, networking, higher reliability/performance requirements
Mobile, IoT & Consumer (MIC)	Smartphones, consumer electronics, IoT	New design wins, content growth, customer/product cycles

Source: Company Data, Morgan Stanley Research.

Customer Diversification

Apple has historically been SiTime's largest end customer and is reported within the Mobile, IoT & Consumer (MIC) segment. Apple represented ~17% of CY25 revenue versus ~22% in CY24 and ~21% in CY23. More recently, SiTime has added incremental content tied to Apple's internally developed modem, with two SiTime timing devices shipping alongside the modem as the architecture proliferates across additional products, with the content expected to ramp in 2H26 through 1H27.

At the same time, Apple's contribution has declined as CED has become a much larger portion of SiTime's revenue mix. This mix shift has also been supportive of GM%, as higher-performance CED applications generally carry richer timing content and pricing than SiTime's historical consumer business. Non-GAAP GM% has increased from 47% at IPO to ~67% in CY26E as CED mix has risen from ~12% to ~66%.

Exhibit 30: GM% has grown while Apple has declined as a % of total revenue

Source: Company Data, Morgan Stanley Research.

Renesas Timing Products Division (TPD) Acquisition

The acquisition of Renesas' Timing Products Division (TPD) further broadens SiTime's product and customer footprint. SiTime announced the acquisition of Renesas' Timing Products Division (TPD) on February 4, 2026 and closed the transaction on July 1, 2026. TPD generated ~\$208mn of CY25 revenue and adds >550 clock products and >10,000 customers to SiTime's historical strength in resonators and oscillators, giving the combined company a broader portfolio spanning resonators, oscillators and clocks. TPD carries ~70% GM% and is weighted toward AI/data center/communications, which represents ~75% of revenue.

SiTime initially expected TPD to generate at least \$300mn of revenue in the first 12 months post-close, implying >40% growth from CY25, and has since indicated the business is tracking ahead of that initial framework.

The strategic value is broader than acquired revenue. TPD gives SiTime immediate scale in clocking, increases the number of timing sockets the company can address and creates cross-sell opportunities across both customer bases. Product overlap is relatively limited, with TPD bringing a broad clocking portfolio and SiTime bringing differentiated MEMS resonators/oscillators.

Timing Industry Overview

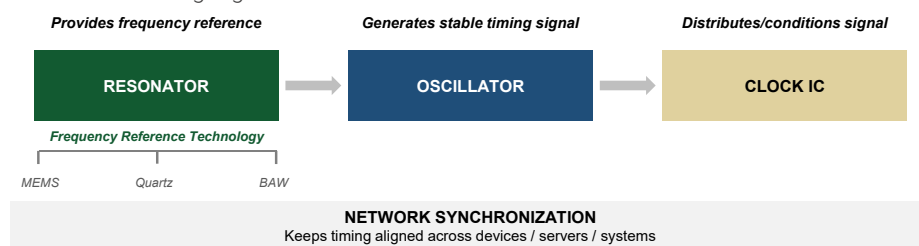
What is Timing?

Timing provides the reference signals that allow electronic systems to operate at the correct speed and in the correct sequence. Timing is used across nearly all electronic systems, from consumer devices and automobiles to communications infrastructure, industrial equipment and data centers.

Timing broadly consists of three hardware functions: resonators, oscillators, and clocks. More complex systems can also require **synchronization software** to keep timing aligned across multiple devices or nodes.

- **1.) Resonators:** provide the underlying frequency reference.
- **2.) Oscillators:** use that reference to generate a stable timing signal.
- **3.) Clocks:** distribute and manage that timing signal throughout a system.

Exhibit 31: Timing Signal Chain



Source: Morgan Stanley Research.

What is precision timing? Not all systems require the same level of timing performance. Precision timing refers to higher-performance timing solutions designed for applications where greater accuracy, stability, reliability and synchronization are required. These requirements tend to increase as data rates rise, latency falls, systems become more distributed and electronics operate in more demanding environments. SiTime similarly frames Precision Timing around high performance, resilience and reliability.

Timing performance is determined by how accurately and consistently those signals are generated and maintained. Key parameters include frequency accuracy/stability, jitter and synchronization. As system speeds increase, smaller timing errors can reduce signal integrity and system performance.

- **Frequency accuracy/stability:** measures how closely a timing signal maintains its intended frequency over time and across temperature, voltage, aging and other operating conditions.
- **Jitter/phase noise:** measures short-term variation in when a signal occurs. As data rates increase, the allowable timing error narrows, increasing the importance of low-jitter timing.
- **Synchronization:** keeps timing aligned across multiple devices/nodes/systems so data can be transmitted and processed coherently.
- **Holdover:** allows a system to maintain accurate timing if its primary timing reference is temporarily lost.

What is frequency reference technology and why does it matter?

Frequency reference technology is the underlying physical method used to create the stable repeating frequency that a timing system follows. Quartz, MEMS and BAW all perform this same basic function, but use different physical approaches to create the reference, resulting in different tradeoffs across precision, integration, robustness, programmability and cost.

Historically, precision timing was dominated by quartz crystal-based solutions. MEMS emerged as a potential alternative in the 2000s, but commercializing it proved difficult because the resonator still had to deliver the stability, reliability and precision expected from quartz. SiTime introduced its first production MEMS oscillator in 2006 and subsequently became the clear commercial leader in MEMS timing by combining a silicon MEMS resonator with analog circuitry, wafer-level packaging and semiconductor manufacturing processes.

MEMS (Micro-Electro-Mechanical Systems) uses microscopic silicon structures to create the frequency reference. Once the precision/stability challenges were solved, the technology enabled semiconductor-style manufacturing and integration, supporting smaller size, programmability, greater shock/vibration resilience and the ability to support a broad range of frequencies from a common architecture. Quartz remains the dominant resonator technology given its decades-long track record, inherent frequency stability and mature manufacturing base. SiTime's 10-K similarly contrasts MEMS with quartz on programmability, frequency flexibility, integration and environmental resilience.

BAW (Bulk Acoustic Wave) represents a more recent alternative to quartz and MEMS. BAW creates the frequency reference using acoustic waves inside a very small resonating structure and is particularly attractive for high-performance clocking given its high-frequency operation and low-jitter characteristics. TI now uses BAW across oscillators, clock generators and network synchronizers, including products targeting 800G/1.6T Ethernet and other high-speed networking applications.

Exhibit 32: Frequency reference technology comparison

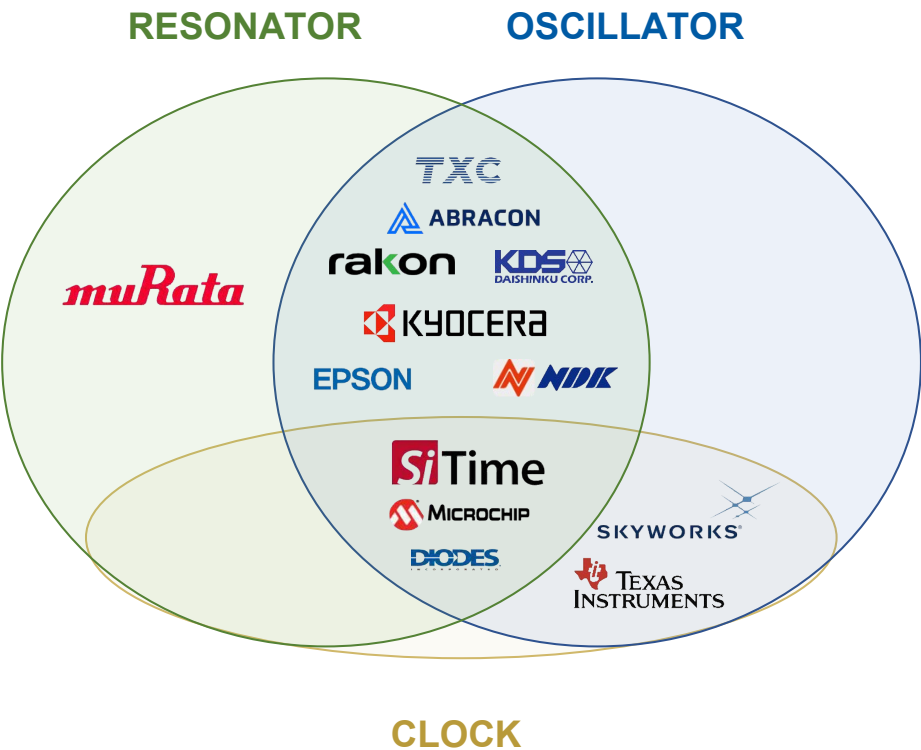
	Quartz	MEMS	BAW
What it is	Quartz crystal resonator	Silicon-based resonator	Bulk acoustic wave resonator
Why customers use it	Proven, mature, naturally stable	Small, robust, programmable, highly integrable	High-frequency, low-jitter, highly integrated
Key strength	Precision + long track record	Integration + robustness	Low jitter + high-frequency performance
Main challenge	More fragile and harder to integrate/minimize	Requires significant compensation for temperature / stress / process variation	Specialized materials/process and less broadly deployed
Typical use	Broad timing across most end markets	Broad precision timing, automotive, data center, industrial	Advanced clocking/networking/data center

Source: Morgan Stanley Research.

Who are the key players?

The timing market remains fragmented, with competitors differentiated both by where they participate in the timing signal chain and by the frequency-reference technology they use. Traditional timing vendors are concentrated primarily in resonators and oscillators, while fewer competitors offer clock ICs and broader synchronization capabilities.

Exhibit 33: Most timing vendors focus on resonators/oscillators, while few span the full timing signal chain



Source: Company Data, Morgan Stanley Research.

Exhibit 34: Timing vendors also differ by underlying frequency reference technology

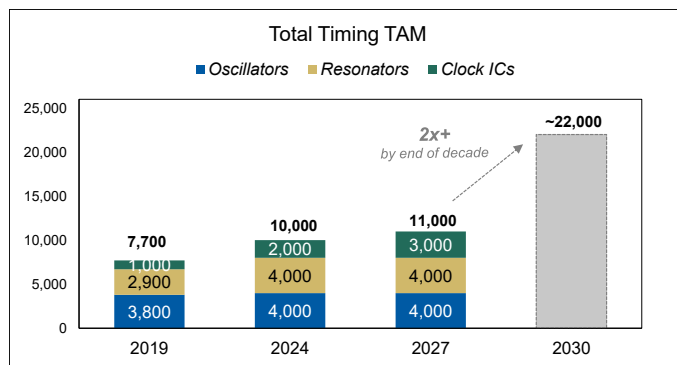


Source: Company Data, Morgan Stanley Research

How large is the timing market?

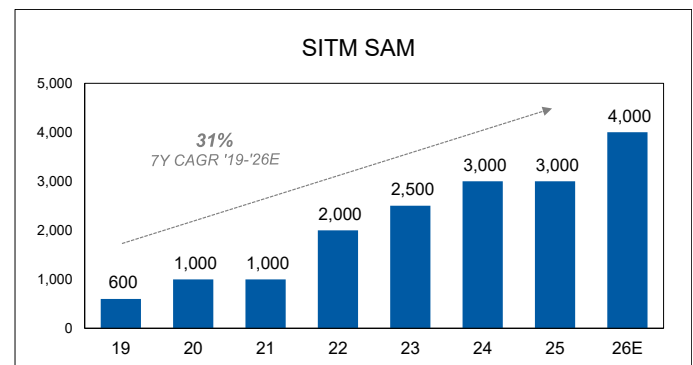
The global timing market is ~\$11bn in size and spans resonators, oscillators and clock ICs. Industry estimates suggest a relatively balanced opportunity across the timing signal chain, with standalone resonators and oscillators each representing ~\$4bn and clocks representing ~\$3bn. SiTime currently estimates the total timing market at ~\$11bn, while its 2025 offering materials size the market at ~\$4bn for oscillators, ~\$3bn for clocks and ~\$4bn for standalone resonators by 2027, with the TAM expected to ~double by the end of the decade. SiTime's defined SAM, which we generally view as a proxy for high performance precision timing, is sized at \$4bn currently.

Exhibit 35: The total Timing TAM is expected to ~double by 2030...



Source: Company Data, Morgan Stanley Research.

Exhibit 36: ...while SiTime's current SAM of \$4bn has grown at a ~31% CAGR since its IPO in 2019

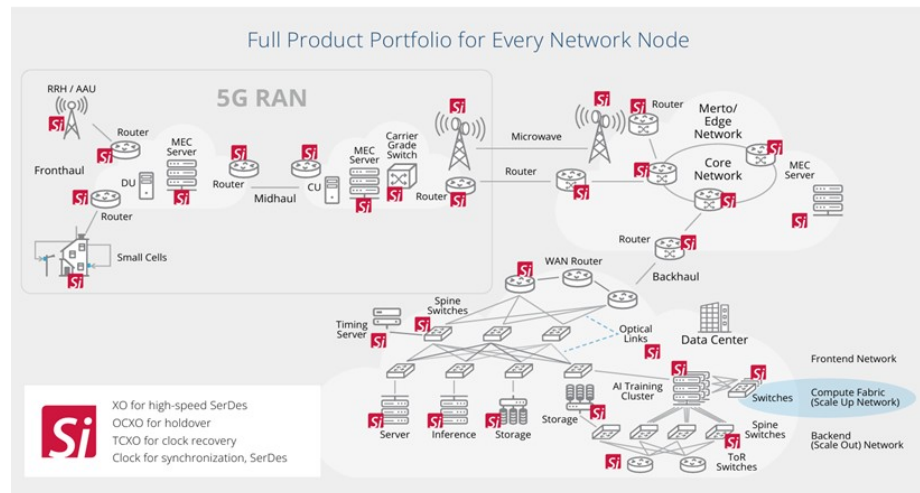


Source: Company Data, Morgan Stanley Research.

Why does timing matter more now?

Timing requirements are increasing as electronic systems become faster, more connected, more distributed and more autonomous. This extends well beyond data centers. Automotive systems require more precise timing as vehicles add networking, sensors and higher levels of autonomy; industrial systems require resilient timing across increasingly connected factories and infrastructure; aerospace/defense applications require precision timing and holdover where GPS may be degraded or unavailable; and communications infrastructure requires tighter synchronization as network speeds increase.

The result is both more timing points per system and higher performance requirements at each point. In data center/networking architectures, precision timing can be used across compute nodes, accelerator cards, switches, optical modules and synchronization infrastructure. Similar content expansion occurs as automotive, industrial and aerospace/defense platforms become more electronically complex. For SiTime, this creates the opportunity to grow timing content per system even before accounting for underlying unit growth - a core reason its precision timing SAM can expand faster than the overall timing market.

Exhibit 37: Timing content spans the full network architecture

Source: Company Data.

SITM Financial Statements

Exhibit 38: SITM: Projected Income Statement

SITM Corporation Bottoms Up Model (All amounts: fiscal year ends in December)	Mar-25 2024-1F	Jun-25 2024-2F	Sep-25 2024-3F	Dec-25 2024-4F	Mar-26 2024-5F	Jun-26 2024-6F	Sep-26 2024-7F	Dec-26 2024-8F	Mar-27 2024-9F	Jun-27 2024-10F	Sep-27 2024-11F	Dec-27 2024-12F	Mar-28 2024-13F	Jun-28 2024-14F	Sep-28 2024-15F	Dec-28 2024-16F	CY2024A 2024-1F	CY2025A 2024-2F	CY2026E 2024-3F	CY2027E 2024-4F	CY2028E 2024-5F
Revenues	\$ 60	\$ 68	\$ 84	\$ 113	\$ 114	\$ 157	\$ 201	\$ 312	\$ 298	\$ 320	\$ 333	\$ 390	\$ 372	\$ 404	\$ 487	\$ 530	\$ 203	\$ 327	\$ 874	\$ 1,360	\$ 1,174
Q/Q Change	-11.4%	15.2%	20.3%	35.6%	0.2%	36.6%	84.8%	7.1%	-4.4%	7.3%	10.4%	10.4%	-4.6%	8.7%	15.6%	13.5%	40.8%	61.2%	167.4%	55.7%	30.4%
Y/Y Change	82.6%	58.4%	44.8%	66.3%	88.3%	126.6%	248.2%	175.1%	162.4%	103.0%	21.3%	25.0%	24.8%	26.5%	32.4%	36.1%					
COGS	30	33	39	46	47	58	101	110	103	110	122	134	128	137	159	180	98	152	316	469	602
Gross Profit	30	36	45	64	67	99	190	202	195	209	211	256	245	268	298	350	104	175	558	891	1,172
Gross Margin	50.3%	51.9%	53.8%	56.4%	59.0%	63.0%	71.4%	64.7%	65.5%	65.5%	63.5%	65.5%	66.0%	66.2%	66.0%	66.1%	51.6%	53.6%	63.9%	65.5%	66.1%
Non-GAAP Gross Margin	35	40	49	69	73	106	197	208	202	216	238	262	252	274	316	357	118	194	584	917	1,198
Non-GAAP Gross Margin %	57.4%	58.2%	58.8%	61.2%	64.5%	67.1%	67.6%	66.8%	67.7%	67.5%	67.3%	67.2%	67.7%	67.8%	67.4%	67.3%	58.2%	59.3%	66.8%	67.4%	67.5%
R&D	30	31	30	28	33	36	50	53	60	63	64	68	72	79	84	91	107	119	172	255	326
% of Revs.	49.8%	44.0%	35.9%	25.0%	28.8%	22.9%	17.2%	17.0%	20.1%	19.7%	18.1%	17.5%	19.4%	19.5%	18.0%	17.2%	52.7%	36.4%	19.7%	18.7%	18.4%
Non-GAAP R&D	19	20	19	19	22	26	39	42	47	50	51	55	58	64	69	76	69	76	129	205	268
% of Revs.	32.1%	28.1%	22.2%	16.8%	18.9%	16.3%	13.6%	13.6%	15.9%	15.8%	14.6%	14.2%	15.5%	15.9%	14.9%	14.4%	34.0%	23.4%	14.8%	15.1%	15.1%
SG&A	27	28	31	31	39	46	65	69	77	79	84	88	93	95	97	99	102	117	219	328	384
% of Revs.	44.5%	40.6%	36.6%	27.2%	34.3%	29.4%	22.3%	22.1%	25.8%	24.7%	23.8%	22.6%	25.0%	23.6%	20.8%	18.7%	50.4%	35.7%	25.1%	24.1%	21.7%
Non-GAAP SG&A	13	14	15	16	20	27	43	47	51	53	58	62	63	66	67	69	49	59	137	225	265
% of Revs.	21.9%	19.8%	18.1%	14.6%	17.6%	16.8%	14.9%	15.1%	17.2%	16.6%	16.5%	16.0%	17.0%	16.2%	14.4%	13.1%	24.0%	17.9%	15.7%	16.5%	14.9%
Other Opex	2	2	0	3	8	9	11	11	11	11	11	11	11	11	11	11	11	7	38	43	43
Total Opex	58	61	61	62	79	91	128	133	148	153	159	167	176	185	192	201	220	242	429	626	754
Non-GAAP Opex	33	33	34	35	41	52	83	90	99	104	110	118	121	130	137	146	117	135	266	430	533
% of Revs.	53.9%	47.9%	40.3%	31.3%	36.5%	33.1%	28.4%	28.8%	33.1%	32.4%	31.1%	30.2%	32.5%	32.1%	29.3%	27.5%	58.0%	41.3%	30.5%	31.6%	30.1%
Operating Income	(28)	(25)	(16)	2	(12)	8	64	69	47	67	72	89	69	83	117	150	(115)	(67)	129	265	418
Operating Margin %	-46.6%	-35.4%	-19.2%	1.6%	-10.9%	5.2%	22.1%	22.1%	15.9%	17.7%	20.5%	22.8%	18.7%	20.4%	24.9%	28.2%	-56.9%	-20.5%	14.8%	19.5%	23.6%
Non-GAAP Operating Income	2	7	15	34	32	53	114	118	103	112	126	144	131	144	178	211	1	99	318	487	664
Non-GAAP Op. Margin %	3.4%	10.3%	18.5%	29.9%	28.0%	34.0%	35.1%	38.0%	34.6%	35.1%	36.2%	37.0%	35.2%	35.6%	38.1%	39.6%	0.3%	17.9%	36.4%	38.8%	37.4%
Total Interest Income (net) and Other Income	4	4	8	8	7	10	4	4	4	4	5	5	6	6	7	7	22	25	25	18	26
Total Interest Income (net) and Other Income - M	4	4	8	8	7	10	4	4	4	4	5	5	6	6	7	7	22	25	25	18	26
PBT	(24)	(20)	(8)	10	(5)	18	68	73	51	81	77	94	75	89	124	157	(83)	(42)	194	283	444
PBT Margin %	-39.5%	-29.0%	-9.5%	8.4%	-4.6%	11.6%	23.5%	23.4%	17.3%	19.0%	21.9%	24.1%	20.3%	21.9%	26.4%	29.5%	-45.9%	-13.0%	30.5%	26.4%	25.0%
Income Tax Expense (Benefit)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	1	1	0	1	1	1	2
Effective tax rate %	-0.3%	-0.2%	-1.4%	4.0%	-0.3%	0.2%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	-0.5%	-1.4%	0.5%	0.5%	0.5%
Net Income, Cont. Ops.	(24)	(20)	(8)	9	(5)	18	68	73	51	80	77	93	75	88	123	156	(84)	(43)	153	282	442
Net Income Margin %	-39.6%	-29.0%	-9.6%	8.1%	-4.6%	11.5%	23.4%	23.3%	17.2%	18.9%	21.8%	23.9%	20.2%	21.8%	26.3%	29.4%	-46.2%	-13.1%	17.6%	20.7%	24.9%
Net Income	(24)	(20)	(8)	9	(5)	18	68	73	51	80	77	93	75	88	123	156	(84)	(43)	153	282	442
Net Income Margin %	-39.6%	-29.0%	-9.6%	8.1%	-4.6%	11.5%	23.4%	23.3%	17.2%	18.9%	21.8%	23.9%	20.2%	21.8%	26.3%	29.4%	-46.2%	-13.1%	17.6%	20.7%	24.9%
Net Income to Common	(24)	(20)	(8)	9	(5)	18	68	73	51	80	77	93	75	88	123	156	(84)	(43)	153	282	442
Net Income to Common - MW	(19)	(15)	(4)	17	8	32	84	89	68	77	93	109	91	104	139	172	(76)	(21)	213	346	505
EPS	\$ (1.01)	\$ (0.84)	\$ (0.31)	\$ 0.35	\$ (0.20)	\$ 0.68	\$ 2.07	\$ 2.20	\$ 1.53	\$ 1.79	\$ 2.27	\$ 2.74	\$ 2.18	\$ 2.54	\$ 3.53	\$ 4.45	\$ (4.05)	\$ (1.72)	\$ 5.13	\$ 8.35	\$ 12.72
EPS - MW	\$ (0.77)	\$ (0.60)	\$ (0.16)	\$ 0.62	\$ 0.30	\$ 1.15	\$ 2.57	\$ 2.69	\$ 2.02	\$ 2.28	\$ 2.75	\$ 3.21	\$ 2.65	\$ 3.01	\$ 3.99	\$ 4.90	\$ (2.99)	\$ (0.81)	\$ 7.04	\$ 10.24	\$ 14.54
EPS - Non-GAAP	\$ 0.26	\$ 0.47	\$ 0.87	\$ 1.53	\$ 1.44	\$ 2.28	\$ 3.58	\$ 3.69	\$ 3.19	\$ 3.44	\$ 3.91	\$ 4.36	\$ 3.96	\$ 4.31	\$ 5.28	\$ 6.18	\$ 0.94	\$ 3.21	\$ 11.28	\$ 14.90	\$ 19.78

Source: Company Data, Morgan Stanley Research

Exhibit 39: SITM: Projected Balance Sheet

SITM Corporation Balance Sheet (All amounts: fiscal year ends in December)	Mar-25 2024-1F	Jun-25 2024-2F	Sep-25 2024-3F	Dec-25 2024-4F	Mar-26 2024-5F	Jun-26 2024-6F	Sep-26 2024-7F	Dec-26 2024-8F	Mar-27 2024-9F	Jun-27 2024-10F	Sep-27 2024-11F	Dec-27 2024-12F	Mar-28 2024-13F	Jun-28 2024-14F	Sep-28 2024-15F	Dec-28 2024-16F	CY2024A 2024-1F	CY2025A 2024-2F	CY2026E 2024-3F	CY2027E 2024-4F	CY2028E 2024-5F
Assets																					
Cash and cash equivalents	\$ 38.8	\$ 172.5	\$ 27.1	\$ 16.8	\$ 498.5	\$ 1,921.1	\$ 383.8	\$ 467.5	\$ 571.3	\$ 645.5	\$ 720.9	\$ 809.6	\$ 939.9	\$ 1,032.5	\$ 1,124.5	\$ 1,250.3	\$ 16.8	\$ 467.5	\$ 809.6	\$ 1,250.3	\$ 1,250.3
Short-term investments in held to maturity securities	360.1	624.1	782.5	791.6	290.2	-	-	-	-	-	-	-	-	-	-	-	791.6	-	-	-	-
Accounts receivables, net	28.1	26.9	22.5	45.0	55.0	88.7	166.2	178.0	170.3	182.6	201.6	222.6	212.4	231.0	267.0	303.0	45.0	178.0	222.6	303.0	303.0
Inventory	62.6	84.1	86.7	81.6	91.1	103.9	187.4	199.5	185.8	197.8	217.2	235.9	221.8	237.8	274.8	306.4	81.6	199.5	235.9	306.4	306.4
Prepaid expenses and other current assets	9.7	11.2	13.2	14.3	14.4	20.1	20.1	20.1	20.1	20.1	20.1	20.1	20.1	20.1	20.1	20.1	14.3	20.1	20.1	20.1	20.1
Total Current Assets	619.3	918.9	932.0	949.3	949.2	2,133.9	797.5	865.2	947.5	1,048.6	1,193.9	1,288.2	1,394.2	1,521.4	1,686.4	1,879.8	949.3	865.2	1,288.2	1,679.8	1,679.8
Property, plant and equipment, net	98.2	99.9	99.2	105.1	106.7	114.4	121.7	130.0	139.2	149.5	163.4	179.5	194.6	211.6	232.4	257.0	105.1	130.0	179.5	257.0	257.0
Intangible assets, net	159.9	155.9	152.1	147.4	141.6	136.0	130.7	125.4	120.1	114.8	109.5	104.2	98.9	93.6	88.3	83.0	147.4	125.4	104.2	83.0	83.0
Right of use assets, net	6.3	5.6	4.9	4.1	3.5	3.9	4.9	5.9	5.9	5.9	5.9	5.9	5.9	5.9	5.9	5.9	4.1	5.9	5.9	5.9	5.9
Goodwill	87.1	87.1	87.1	87.1	87.1	87.1	1,587.1	1,587.1	1,587.1	1,587.1	1,587.1	1,587.1	1,587.1	1,587.1	1,587.1	1,587.1	87.1	1,587.1	1,587.1	1,587.1	1,587.1
Other assets	13.3	9.7	12.7	14.9	14.6	24.3	24.3	24.3	24.3	24.3	24.3	24.3	24.3	24.3	24.3	24.3	12.7	24.3	24.3	24.3	24.3
Total Assets	872.1	1,269.1	1,277.6	1,294.7	1,292.9	2,895.6	2,631.2	2,741.8	2,828.9	2,931.6	3,054.1	3,193.3	3,309.9	3,447.9	3,628.4	3,841.0	1,294.7	2,741.8	3,193.3	3,841.0	3,841.0
Liabilities & Shareholders' Equity																					
Accounts payable	24.8	13.1	18.9	21.3	22.9	28.9	53.6	58.7	54.7	58.9	65.4	72.3	68.0	73.8	86.4	98.1	21.3	58.7	72.3	98.1	98.1
Accrued expenses and other current liabilities	61.9	64.6	61.6	62.7	53.2	60.6	80.8	89.8	80.8	89.8	90.8	90.8	80.8	80.8	80.8	80.8	62.7	60.6	80.8	89.8	89.8
Total Current Liabilities	186.7	197.5	180.5	184.0	76.1	189.7	134.4	148.5	135.5	148.7	156.2	163.1	148.8	154.7	167.2	179.0	84.0	119.3	153.2	188.0	188.0
Long-term debt	-	-	-	-	-	1,317.6	1,317.6	1,317.6	1,317.6	1,317.6	1,317.6	1,317.6	1,317.6	1,317.6	1,317.6	1,317.6	-	1,317.6	1,317.6	1,317.6	1,317.6
Other long-term liabilities	72.9	60.9	62.9	54.5	57.8	53.2	53.2	53.2	53.2	53.2	53.2	53.2	53.2	53.2	53.2	53.2	54.5	53.2	53.2	53.2	53.2
Total Liabilities	259.6	258.4	243.4	238.5	233.9	1,660.5	1,605.2	1,668.4	1,663.3	1,669.4	1,686.4	1,683.5	1,669.4	1,675.4	1,678.0	1,678.6	238.5	1,668.4	1,669.4	1,683.5	1,683.5
Shareholders' Equity	615.5	1,010.7	1,034.2	1,056.2	1,059.0	1,232.1	1,236.0	1,236.0	1,236.0	1,236.0	1,236.0	1,236.0	1,236.0	1,236.0	1,236.0	1,236.0	1,056.2	1,034.2	1,034.2	1,034.2	1,034.2
Total Liabilities & Equity	872.1	1,269.1	1,277.6	1,294.7	1,292.9	2,895.6	2,631.2	2,741.8	2,828.9	2,931.6	3,054.1	3,193.3	3,309.9	3,447.9	3,628.4	3,841.0	1,294.7	2,741.8	3,193.3	3,841.0	3,841.0

Exhibit 40: SITM: Projected Cash Flow Statement

SITM Corporation Statement of Cash Flows (Non-Cash)	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28	CY2024A	CY2025A	CY2026E	CY2027E	CY2028E
(\$ in millions; fiscal year ends in December)	2024:1F	2024:2F	2024:3F	2024:4F	2024:1F	2024:2F	2024:3F	2024:4F	2024:1F	2024:2F	2024:3F	2024:4F	2024:1F	2024:2F	2024:3F	2024:4F	2024CY	2025CY	2026CY	2027CY	2028CY
Cash flows provided by (used for) operating activities:																					
Net income	\$ (23.9)	\$ (20.2)	\$ (8.0)	\$ 9.2	\$ (5.2)	\$ 18.2	\$ 68.0	\$ 72.6	\$ 51.2	\$ 60.4	\$ 77.0	\$ 93.2	\$ 75.1	\$ 88.1	\$ 122.9	\$ 155.9	\$ (93.6)	\$ (42.9)	\$ 153.5	\$ 281.8	\$ 442.0
provided by operating activities:																					
Depreciation and amortization	9.0	9.8	9.9	11.4	12.4	13.0	13.0	13.0	13.0	13.0	13.0	13.0	13.0	13.0	13.0	13.0	30.1	40.2	51.4	52.0	52.0
Stock-based compensation expense	25.0	26.3	27.8	24.4	30.8	31.0	33.0	33.0	39.0	39.0	39.0	39.0	45.0	45.0	45.0	45.0	92.6	103.5	127.8	156.0	180.0
Net change in unrealized interest on held to maturity	0.0	1.2	(4.4)	(0.3)	4.3	3.6	-	-	-	-	-	-	-	-	-	-	4.6	(3.5)	7.8	-	-
Change in fair value of sales based earnout liability	0.9	1.4	0.1	1.5	(1.4)	2.0	-	-	-	-	-	-	-	-	-	-	6.0	4.0	0.6	-	-
Accretion of acquisition consideration payable	0.6	0.4	-	-	-	-	-	-	-	-	-	-	-	-	-	-	4.1	1.1	-	-	-
Inventory write down	1.0	1.8	1.1	2.7	0.9	1.7	-	-	-	-	-	-	-	-	-	-	4.4	6.6	2.6	-	-
Other operating activities	-	-	-	-	-	2.2	-	-	-	-	-	-	-	-	-	-	-	-	2.2	-	-
Changes in current assets and liabilities:																					
Accounts receivable	10.1	1.2	4.4	(22.5)	(10.0)	(33.7)	(77.5)	(11.8)	7.8	(12.4)	(19.0)	(20.9)	10.1	(18.6)	(35.9)	(36.0)	(16.3)	(6.8)	(133.0)	(44.6)	(80.4)
Inventories	(7.0)	(3.5)	(3.9)	2.3	(10.5)	(14.5)	(83.5)	(12.1)	13.7	(11.9)	(19.4)	(18.7)	14.1	(16.0)	(37.0)	(31.6)	(14.3)	(12.0)	(120.6)	(36.4)	(70.5)
Prepaid expenses and other assets	0.5	(1.9)	(1.9)	(1.2)	(1.2)	(2.9)	-	-	-	-	-	-	-	-	-	-	(2.5)	(4.6)	(3.2)	-	-
Accounts payable	(2.7)	(0.8)	5.3	2.5	6.9	3.5	24.7	5.1	(4.0)	4.2	6.6	6.9	(4.3)	5.8	12.5	11.8	6.1	4.3	40.2	13.7	25.8
Accrued expenses and other liabilities	1.3	(0.5)	1.0	(4.9)	4.2	16.8	-	-	-	-	-	-	-	-	-	-	2.1	(2.7)	19.0	-	-
Net cash provided by operating activities	16.2	18.3	31.4	25.4	31.2	39.8	(22.4)	99.8	120.8	92.2	97.6	112.8	153.6	117.3	120.5	168.0	23.2	87.2	148.4	422.4	848.9
Cash flows from investing activities:																					
Purchase of held to maturity securities	(124.5)	(511.4)	(293.6)	(439.4)	(113.6)	(20.0)	-	-	-	-	-	-	-	-	-	-	(807.8)	(1,368.8)	(133.6)	-	-
Proceeds from maturity of held to maturity securities	177.1	246.1	139.7	430.5	610.8	286.6	-	-	-	-	-	-	-	-	-	-	909.3	993.4	897.4	-	-
Purchase of property and equipment	(18.3)	(18.2)	(5.1)	(12.4)	(13.3)	(12.4)	(14.5)	(15.6)	(18.4)	(17.8)	(21.2)	(23.4)	(22.3)	(24.3)	(28.0)	(31.8)	(36.2)	(52.0)	(55.9)	(78.5)	(106.4)
Cash paid for intangibles	(0.1)	(0.0)	(0.0)	(0.2)	(0.2)	(0.4)	(0.4)	(0.4)	(0.4)	(0.4)	(0.4)	(0.4)	(0.4)	(0.4)	(0.4)	(0.4)	(0.5)	(0.4)	(1.5)	(1.8)	(1.8)
Other investing activities	-	-	-	-	-	-	(1,500.0)	-	-	-	-	-	-	-	-	-	-	-	(1,500.0)	-	-
Net cash used for investing activities	36.2	(283.6)	(159.0)	(21.5)	483.7	253.7	(1,515.9)	(16.0)	(16.8)	(18.6)	(21.6)	(23.8)	(22.8)	(24.7)	(28.5)	(32.3)	64.8	(427.9)	(793.9)	(88.3)	(108.2)
Cash flows from financing activities:																					
Tax withholding paid on behalf of employees for net share	(13.5)	(13.8)	(14.0)	(13.3)	(27.8)	(59.5)	-	-	-	-	-	-	-	-	-	-	(52.6)	(54.6)	(87.3)	-	-
Payment for debt financing costs	-	-	-	-	(1.4)	(36.2)	-	-	-	-	-	-	-	-	-	-	-	-	(37.8)	-	-
Payment of contingent consideration towards earnouts	(5.0)	(1.3)	(2.8)	(3.8)	(4.0)	(3.7)	-	-	-	-	-	-	-	-	-	-	(12.3)	(12.9)	(7.6)	-	-
Payments on (Proceeds from) debt, net	-	-	-	-	-	1,350.0	-	-	-	-	-	-	-	-	-	-	-	-	1,350.0	-	-
Proceeds from public offering, net of underwriting disc	-	433.1	-	35.6	-	-	-	-	-	-	-	-	-	-	-	-	50.5	468.7	-	-	-
Dividend payments to shareholders	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other financing activities	-	(18.1)	(1.0)	(32.8)	-	(121.5)	-	-	-	-	-	-	-	-	-	-	(76.9)	(49.8)	(121.5)	-	-
Net cash used for financing activities	(18.5)	461.9	(17.8)	(14.3)	(33.1)	1,129.2	-	-	-	-	-	-	-	-	-	-	(91.3)	351.4	1,096.0	-	-
Effect of exchange rate changes on cash and cash equivalents	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Cash and cash equivalents, beginning of period	6.1	38.8	172.5	27.1	16.8	486.5	1,921.1	383.8	467.5	571.3	645.5	720.9	809.6	939.9	1,032.5	1,124.5	9.5	6.1	16.8	467.5	809.6
Change in cash flow due to restatement	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net increase (decrease) in cash and cash equivalents	32.7	133.7	(145.4)	(10.4)	481.7	1,422.7	(1,537.4)	83.8	103.8	74.2	76.4	88.7	130.2	92.6	92.1	125.8	(8.4)	16.7	450.8	342.1	440.7
Cash and cash equivalents, end of period	38.8	172.5	27.1	16.8	486.5	1,921.1	383.8	467.5	571.3	645.5	720.9	809.6	939.9	1,032.5	1,124.5	1,250.3	6.1	16.8	467.5	809.6	1,250.3

Source: Company Data, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/16/2026)
Joseph Moore		
Advanced Micro Devices (AMD.O)	E (06/09/2024)	\$512.50
Aeva Technologies Inc (AEVA.O)	E (07/19/2021)	\$14.40
Allegro Microsystems Inc (ALGM.O)	O (02/13/2026)	\$33.02
Ambarella Inc (AMBA.O)	O (03/29/2016)	\$62.77
Amkor Technology Inc (AMKR.O)	E (11/08/2023)	\$46.28
Analog Devices Inc. (ADI.O)	O (11/16/2023)	\$362.04
Astera Labs Inc (ALAB.O)	O (05/11/2025)	\$269.18
Broadcom Inc. (AVGO.O)	O (06/09/2024)	\$339.51
Cerebras Systems (CBRS.O)	O (06/08/2026)	\$190.47
GlobalFoundries Inc (GFS.O)	E (10/28/2024)	\$43.03
Intel Corporation (INTC.O)	E (02/22/2023)	\$101.05
IonQ Inc (IONQ.N)	E (04/25/2023)	\$36.84
Marvell Technology Group Ltd (MRVL.O)	E (09/14/2015)	\$229.71
Microchip Technology Inc. (MCHP.O)	E (07/10/2024)	\$69.59
Micron Technology Inc. (MU.O)	O (10/06/2025)	\$926.55

Navitas Semiconductor Corp (NVT.S.O)	U (04/06/2025)	\$10.48
NVIDIA Corp. (NVDA.O)	O (03/16/2023)	\$213.90
NXP Semiconductor NV (NXPI.O)	O (02/11/2025)	\$218.98
ON Semiconductor Corp. (ON.O)	++	\$66.60
Qorvo Inc (QRV.O)	E (10/28/2025)	\$113.97
Qualcomm Inc. (QCOM.O)	E (06/24/2026)	\$184.84
Quantinuum (QNT.O)	E (06/29/2026)	\$52.01
SanDisk Corporation. (SNDK.O)	O (03/03/2025)	\$1,519.97
Semtech Corp. (SMT.C.O)	E (04/06/2025)	\$167.55
Silicon Laboratories Inc. (SLAB.O)	E (01/19/2021)	\$219.71
SiTime Corporation (SITM.O)	O (08/10/2026)	\$548.90
Skyworks Solutions Inc (SWKS.O)	E (11/28/2018)	\$85.59
Texas Instruments (TXN.O)	U (04/13/2020)	\$260.67
Wolfspeed, INC (WOLF.N)	NR (04/06/2025)	\$23.67
Lee Simpson		
Arm Holdings plc (ARM.O)	E (04/07/2026)	\$243.98
Cadence Design Systems Inc (CDNS.O)	O (02/14/2024)	\$279.90
PDF Solutions Inc (PDFS.O)	O (09/08/2026)	\$41.97
Synopsys Inc. (SNPS.O)	O (09/08/2026)	\$378.47

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* Historical prices are not split adjusted.